

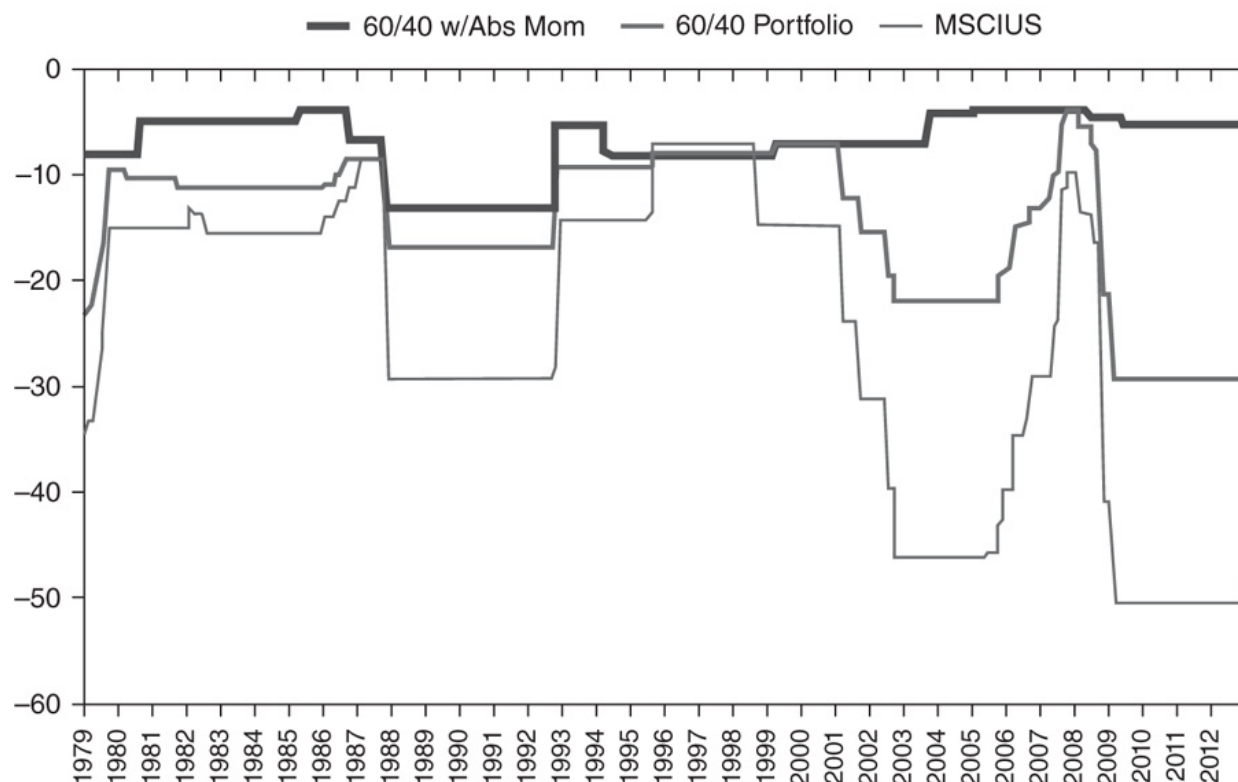


Figure B.14 Rolling Five-Year Maximum Drawdown, 1979–2012

The traditional 60/40 portfolio offers little in the way of risk-reducing diversification, even though it looks balanced from the perspective of dollars invested in each asset class. From 1900 through 2012, the probability of the 60/40 portfolio having a negative real return has been 35% in any one year, 20% over any five years, and 10% over any 10 years.⁴ Its real maximum drawdown was 66%. Adding a simple 12-month absolute momentum overlay to the 60/40 portfolio achieves market-level returns with a more reasonable amount of downside risk. [Figure B.15](#) shows the consistency of the 12-month absolute momentum 60/40 portfolio compared to the traditional 60/40 portfolio. The trend-following, market-timing feature of absolute momentum may be more valuable now than in the past, when the world was less interconnected, asset correlations were lower, and diversification alone was better able to reduce downside exposure.